

Executive Summary

Business Question: Is this D2C fashion brand building a loyal customer base, or is it dependent on continuous promotional activity to drive sales?

Answer: The brand has genuine loyalty signals, but they are concentrated in a small segment. The majority of its customer base is discount-dependent and low-value, representing a structural margin risk if left unaddressed.

Key Findings:

- **Customer Value is heavily skewed:** Only 254 customers (6.5%) fall in the High Value tier, while 2,219 (56.9%) are Low Value. The brand's revenue base is fragile and concentrated.
- **Promo dependency inversely correlates with value:** High-value customers have an average promo dependency of 0.01 vs 0.036 for low-value customers — meaning the brand's best customers don't need discounts to buy.
- **Clothing and Accessories are retention anchors:** Both categories consistently over-index among high-tenure customers. Spring is the strongest acquisition window, with the most balanced tenure distribution.
- **29 out of 50 states show organic demand:** These markets represent genuine brand pull and are the safest candidates for margin improvement through discount reduction.

Recommendations:

- Begin a phased promotional sunset for High Value, Low Dependency customers — starting with time-limited offers and graduating to full discount removal by Month 7.
- Double down on Clothing and Accessories for retention campaigns, and use Spring seasonality for new customer acquisition pushes.
- Prioritize low-dependency states for full-price campaigns and treat high-dependency states with caution during any promotional restructuring.

Bottom line: The brand is not yet discount-dependent at its core — but it is at risk of becoming so. The window to build a loyalty-first strategy is open, but it requires acting on the 6.5% of customers who already demonstrate what genuine brand affinity looks like.